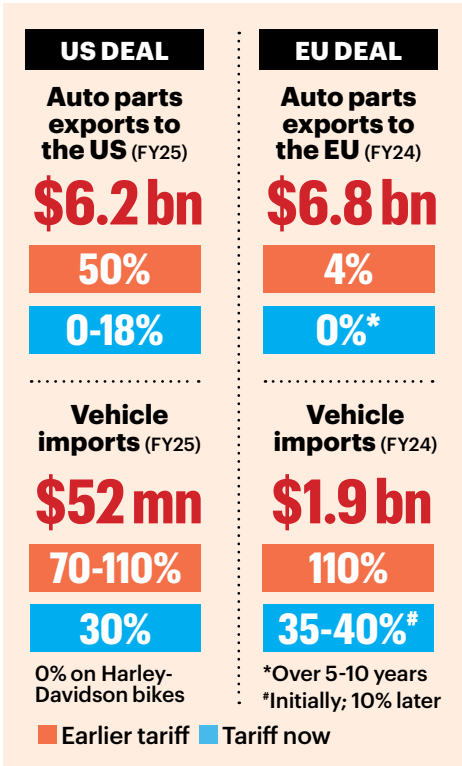


tious. Import duties on European cars priced above €15,000 (Rs 16 lakh) will fall from 110 per cent to 35-40 per cent initially, and eventually to 10 per cent, within an annual quota of 250,000 vehicles. This could sharply reduce prices for luxury brands such as Mercedes-Benz, BMW, Audi and Porsche.

However, the commerce ministry clarified that since these high-end cars account for barely 3 per cent of the country's total car sales, Indian manufacturers would not be impacted.

In auto components, high tariffs had wiped out the cost edge of Asian suppliers, favouring EU producers with preferential access. It had hurt India's MSME-dominated auto components sector. But with duties now cut progressively, Indian firms regain a fighting chance.

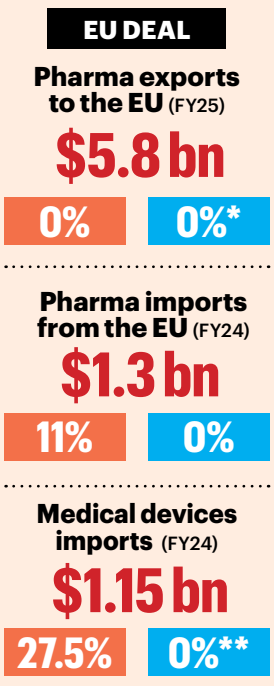
The bigger structural impact may be in tightening production and sourcing links between Indian suppliers and European original equipment manufacturers. That matters because India's global standing in auto components, measured by exports, still lags far behind leaders such as Germany, China and the US. Yet the US is already a key destination for India with auto parts exports to it standing at $6.2 billion (Rs 56,000 cr.) in FY25.

According to Axis Capital, a financial service provider, the moderation in reciprocal tariffs to 18 per cent could lower effective US import costs by 6-8 per cent, improving bid competitiveness, customer retention and plant utilisation, especially for engineered and value-added components. Industry bodies echo this view. Vikrampati Singhania, president, Automotive Component Manufacturers Association of India, says a pathway for further tariff rationalisation will enhance export competitiveness and deepen technology collaboration. Together, the two trade deals could help India climb the global rankings in auto components more rapidly.

—M.G. Arun

> **"A pathway for further tariff rationalisation will enhance export competitiveness and deepen technology collaboration"**
> **— VIKRAMPATI SINGHANIA,** *President, ACMA*





[supporting ingredients] will become competitive. The uncertainty is over and there is now a clear path ahead," said Ashok Madan, executive director, Indian Drug Manufacturers Association. Yet, industry voices remain cautious. The chairman of a large pharma company warns that US trade policy is structurally shifting. "US policy on imports will never be the same, and countries like India will have to actively seek alternative markets to insulate their businesses."

On the other hand, the EU deal offers preferential entry into a $572-billion (Rs 51.8 lakh cr.) pharma market and strengthens prospects for Indian generics and biosimilars. At the same time, the reduction of import tariffs on EU drugs to zero from 11 per cent will allow cheaper access to high-end, specialised medicines and advanced therapies for Indian patients.

The picture is more complex in medical devices. India exports about $800 million (Rs 7,000 cr.) worth of devices to the US but imports over $1.5 billion (Rs 13,600 cr.). While device exports may gain from easier access, lower import duties could hurt domestic manufacturers. The Association of Indian Medical Device Industry has opposed sweeping tariff cuts, with its forum coordinator Rajiv Nath cautioning that India must avoid becoming a dumping ground for end-of-life equipment and instead prioritise indigenously manufactured devices under 'Make in India'. Ultimately, the twin trade deals derisk India's core pharma export engine.

—M.G. Arun

> **"This is a defining moment for pharma. Excipients will become competitive. There is now a clear path ahead" — ASHOK MADAN**
> *ED, Indian Drug Manufacturers Association*

